MODULE 8

CASE STUDY

Stripe: The Collison Installation

How two brothers got their first 100 users by grabbing laptops and installing their product

Prepare this case before class. Come ready to take a position.

THE SITUATION

Stripe, 2011

Patrick and John Collison have built a payment API that lets developers accept payments in 7 lines of code. They have about 20 users. But Braintree — backed by $69M — just launched a similar API.

The Collisons have a legendary tactic: when talking to a potential user, instead of saying 'check us out sometime,' they say 'give me your laptop — I'll set it up right now.' They install Stripe in the person's app in 5 minutes.

KEY FACTS

- ~20 active users
- 7-line API integration
- Braintree: $69M funding, similar product
- PayPal: dominant but developer-hostile
- YC network: warm intros available
- International support: 3 months away

THE DECISION

A YC company wants Stripe but needs international payments. Do you say yes?

OPTION A

Say yes — hack a manual workaround for international payments while you build it properly

OPTION B

Say no — focus on US-only, get to 100 US users first before expanding scope

OPTION C

Say 'in 3 months' — be honest about timeline, risk losing them to Braintree

DISCUSSION QUESTIONS

Come prepared to defend your position with evidence from the case.

1. What makes the 'Collison Installation' so effective? Map it to the customer acquisition funnel.
1. How does 'doing things that don't scale' apply when you have a funded competitor?
1. What's more important at 20 users: breadth (more features) or depth (more users for existing features)?
1. Design your own version of the 'Collison Installation' for your startup. What would it look like?